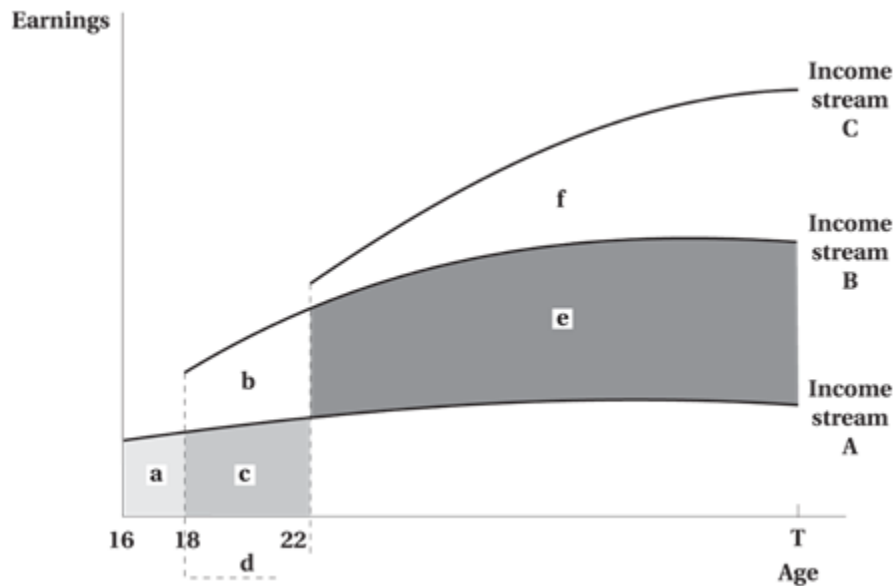


- 1) The essence of human capital theory is that:
 - A) Firms spend money on their capital stock and equipment in order for labour to become more productive.
 - B) Investments are made in human resources so as to improve their productivity and, therefore, their earnings.
 - C) All workers who want to increase their salary should obtain a university diploma.
 - D) Workers invested in higher education in order to send a signal to potential employers regarding their underlying ability.
 - E) Education and training do not contribute directly to productivity, but act as a filter to screen candidates.

- 2) The decision to invest in human capital does not involve which of the following?
- A) The costs of tuition and books
 - B) Direct expenditures
 - C) Forgone earnings
 - D) Projected earnings
 - E) None of the choices are correct, as they all apply.

- 3) The rule for optimal human capital investment is that:
- A) the individual should increase years of education until the discounted present value of the benefits of an additional year of education equals the discounted present value of the additional costs.
 - B) the individual should increase years of education until the discounted present value of the benefits of an additional year of education is less than the discounted present value of the additional costs.
 - C) the individual should increase years of education until the discounted present value of the benefits of an additional year of education is greater than the discounted present value of the additional costs.
 - D) the individual should increase years of education until the discounted present value of the benefits of all of the years of education equals the discounted present value of all of the associated costs.
 - E) The individual should invest in training and skill development such that the potential employer is impressed with her credentials.

- 4) This diagram shows the age-earnings profiles of three different individuals who opt to choose three options: not graduating from high school, graduating from high school, and graduating from a university.



The area labeled e) refers to:

- A) The explicit, out-of-pocket costs incurred
- B) The opportunity costs incurred by someone who opted for income stream B (a high school graduate)
- C) The earnings premium earned by someone who opted for income stream B (a high school graduate) relative to a worker who did not obtain a high school diploma.
- D) The earnings premium earned by someone who opted for income stream C (a university graduate) relative to a worker who graduated from high school.
- E) The total cost of attending university

Answer Key

Test name: in class hcapital

- 1) B
- 2) E
- 3) A
- 4) Section Break
- 4.1) C